

Shea has not been paying attention to her paychecks or her taxes, which is unfortunate, because her employer made a mistake and only withheld \$200 from each of her paychecks. Table 7.3 shows Shea's tax situation.

Table 7.3. Example of not withholding enough for taxes

Shea's amount owed in taxes	Shea's amount paid in taxes	Shea's bill from the IRS
\$6,790	\$5,200	\$1,590

Shea has only paid \$5,200 (\$200 per paycheck multiplied by 26 paychecks) over the course of the year when she should have paid \$6,790. Now, when she files her taxes, she needs to pay the IRS an additional \$1,590 instead of getting a refund. This is especially problematic because she has not been anticipating such a large expense to her budget.

Even though Shea's employer made the mistake with her paychecks, Shea is still responsible for paying the IRS that money. When you get a job, be sure you examine your paychecks to confirm you are having enough withheld.